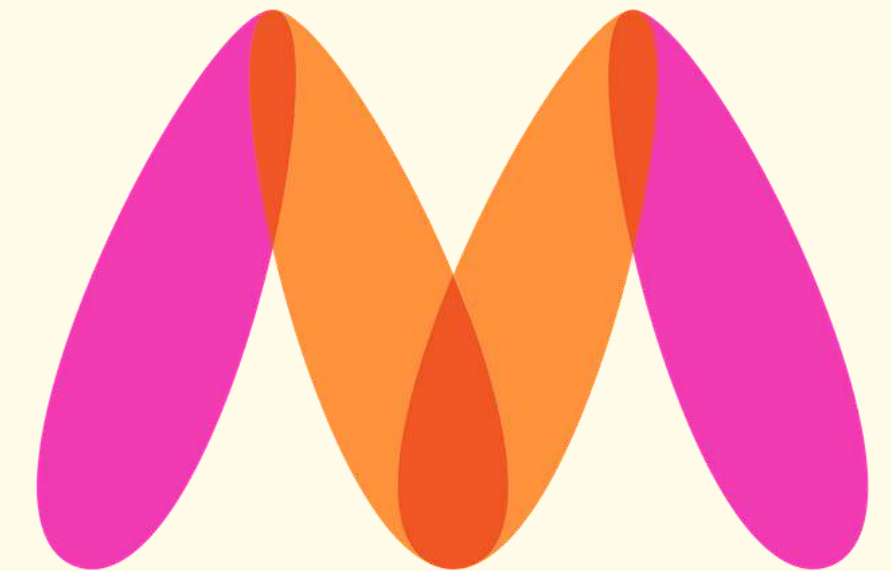


The Quick Commerce Dilemma

Can quick commerce economics work for fashion, given high SKU count, sizing complexity, and return rates, without destroying MyntraX's core margin?



₹1.1L Cr

India Online Fashion Market

growing 25% annually

25–35%

Return Rate

highest cost driver in fashion e-com

-1% to 1%

Net Contribution

60-min delivery across categories

MyntraX must respond without destroying margin on its core business

KEY INSIGHTS FROM EXHIBITS

Exhibit A: Return Rates by Category

Standard Quick (60-min Est.)

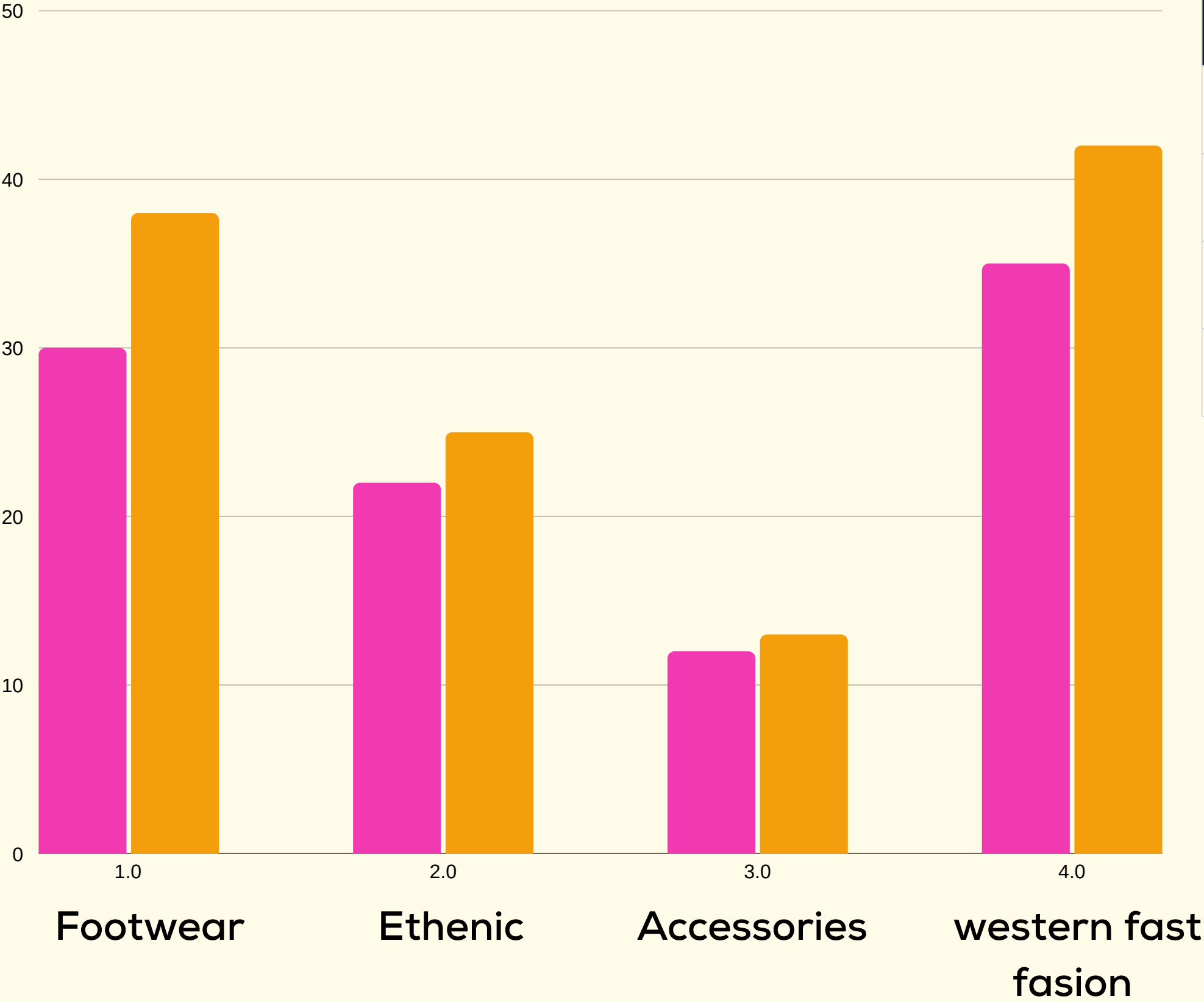


Exhibit B: Delivery Economics

Model	Cost (₹)	Return Rate	Net Margin
Standard (2– 4d)	₹95	28%	7–9% ✓
Express (same day)	₹180	32%	3–5% ~
Quick (60-min)	₹320	38%	–1–1% ✗
Quick (Accessories)	₹310	13%	4–6% ✓

THE ONE VIABLE CATEGORY

Accessories & Bags is the only category where quick delivery is economically sound:

- Size-free → 13% return rate (vs 38–42% for apparel)
- Impulse-driven → willing to pay delivery premium
- Positive net contribution → 4–6% even at quick speeds

COMPETITIVE LANDSCAPE & STRATEGIC OPTIONS

Where MyntraX Wins vs. Each Competitor

Ajiverse

Their gap: Relies on Relix logistics; limited own brand depth

Our edge: MyntraX has 6,000+ brands & superior discovery

Nykaaverse

Their gap: Narrow category range; premium-only

Our edge: MyntraX serves mid-market aspirational at scale

Blinkfast / Zeptify

Their gap: Dark store, few SKUs, metro-only

Our edge: MyntraX full SKU depth; pan-India fulfilment

MeeshNova

Their gap: Value/Tier-2 focus; no brand positioning

Our edge: MyntraX brand equity with aspirational consumers

Three Strategic Options

Option A - Full Quick Commerce Rollout

–1% net margin across apparel categories; return rate spikes to 38–42% at speed. Destroys unit economics at scale.

Option B - Defensive Inaction

Blinkfast & Zeptify are already piloting in metros. Ceding quick commerce entirely risks long-term consumer habit shift.

Option C - Accessories-First Quick Commerce

4–6% net margin; 13% return rate; size-free impulse buying. Non-refundable delivery fee + exchange option protects economics.

Accessories-First Quick Commerce

with Fee-Protected Economics

Category Focus

Launch 60-min delivery exclusively for Accessories & Bags — size-free, impulse-driven, 13% return rate vs 38–42% for apparel. Start in top 5 metros with select SKUs.

Non-Refundable Delivery Fee

Charge ₹59 delivery fee (non-refundable on return). On 13% return rate: recovers $₹59 \times 13$ orders = ₹767 per 100 orders. Offsets ~25% of quick delivery cost. Customer retains product value refund only.

Exchange-First Returns

Prioritise size/colour exchange over full returns. Drives repurchase, keeps GMV on platform, and reduces net logistics cost vs. full return + re-acquisition cycle.

ECONOMICS CHECK → Accessories Quick: ₹310 delivery cost | 13% return | 4–6% net margin | +₹59 non-refundable fee = net contribution lifts to ~6–8% | Only viable quick-commerce category for MyntraX

EXECUTION PLAN

Phase 1 · Months 1–3

Pilot Launch

- 60-min delivery for accessories in Mumbai, Delhi, Bengaluru
- Select 500 –800 high-turn SKUs (bags, jewellery, belts, sunglasses)
- Introduce ₹59 non-refundable delivery fee at checkout
- Exchange-first return UI flow deployed
- Dark store partnerships or dedicated micro-warehousing

KPI: Return rate < 15% | Net contribution > 4%

Phase 2 · Months 4–6

Optimise & Scale SKUs

- Expand to 5 more cities based on Phase 1 data
- Expand SKU catalogue to 2,000+ accessories
- Dynamic pricing: fee waived on orders > ₹1,000
- Loyalty integration: MyntraX Insider members get 1 free quick delivery/month
- Brand partner co-funding for quick delivery logistics

KPI: CAC < ₹200 | Exchange rate > 40% of returns

Phase 3 · Months 7–12

Defend & Differentiate

- Evaluate ethnic wear quick commerce (22% return rate — border viable)
- Leverage quick commerce as a loyalty premium, not a commodity
- Private label accessories for 55–65% margin vs 4–6% marketplace
- Brand narrative: 'Delivered in 60. Exchanged in seconds.'
- Explore Blinkfast/Zeptify partnership vs. counter-positioning

KPI: Quick GMV 8–12% of total | EBITDA neutral on quick orders

RISKS & MITIGATIONS

RISK Delivery fee friction reduces conversion

L: Medium

I: High

MITIGATION A/B test fee vs. fee-waived thresholds. Frame as 'Speed Premium' not penalty. Insider members get 1 free/month, drives upsell to loyalty tier.

RISK Competitors expand SKU range in quick commerce

L: High

I: High

MITIGATION MyntraX's 6,000+ brand depth and private label (55–65% margin) create a structural moat. Speed of curation and personalised discovery cannot be replicated by dark-store operators quickly.

RISK Return rate for accessories creeps above 15%

L: Low–Medium

I: Medium

MITIGATION Non-refundable delivery fee absorbs return logistics cost. Exchange-first flow reduces net returns. Tight SKU curation (non-apparel) maintains structural advantage.

RISK Core marketplace margin erosion from quick cannibalisation

L: Medium

I: High

MITIGATION Quick commerce is ring-fenced to accessories only. Standard delivery remains default. Pricing architecture (₹59 fee) ensures no free-rider effect. KPIs monitored monthly.

One strategy. One recommendation. Accessories-First Quick Commerce with Fee-Protected Economics, the only path that wins on margin AND market.